



U.S. Customs and Border Protection

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RE: Notice of Determination as to Evasion – EAPA Consolidated Case Number 7663

To the Counsel for the Above-Referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act (“EAPA”) consolidated case number 7663 U.S. Customs and Border Protection (“CBP”) has determined that there is not substantial evidence that Starille, Ltd. (“Starille”); Nutrawave Co., Ltd. (“Nutrawave”); and Newtrend USA Co., Ltd. (“Newtrend USA”), collectively (“the importers”) entered merchandise covered by antidumping duty (“AD”) order A-549-837 into the customs territory of the United States through evasion.¹ CBP determines that there is not substantial evidence that the importers imported glycine from Thailand into the United States after transshipping the merchandise through Indonesia because the merchandise imported was not Thai-origin.

Background

On July 12, 2021, and September 7, 2021, Geo Specialty Chemicals, Inc. (“the allegor” or “Geo”), a domestic producer of covered merchandise, submitted allegations to CBP that the importers were evading the AD/CVD orders on glycine from Thailand. The allegations asserted that importers purchased glycine from PT Newtrend Nutrition Ingredient (“PTNNI” or “the manufacturer”), an Indonesian affiliate of the Chinese Newtrend Group (“the Group”), before PTNNI’s factory was capable of glycine production. The allegor supported this contention with a market research report that included photos of [process taking place] at PTNNI’s factory in [month], after the date when the first shipments of glycine from PTNNI began to arrive in the United States. The market research report

¹ See *Glycine from Thailand: Antidumping Duty Order*, 84 FR 55912 (Dept. of Commerce, October 18, 2019) (“order”).

also contained [information gathering] with [sources] and [sources] claiming that production had not yet begun in [month]. According to the allegation, the market researcher was told by a [source] that PTNNI did not have any [product description], but “could provide glycine directly from [source].”² [source] also told the market researcher that the factory would not be operational until at least [month].³ The alleged also provided trade data showing that [company] began importing glycine from PTNNI in [month]⁴ and that all three importers imported glycine from PTNNI before [month]. This shows that all three importers began to import glycine from a factory [description], at a time when [sources] told the market researcher that the only glycine PTNNI had to sell was [product description].⁵

The allegations show that PTNNI and the importers have strong ties to the Group and its Thai affiliate, Newtrend Food Ingredient (Thailand) (“Newtrend Thailand”). The Nutrawave allegation included public business registration records showing that Mr. Hao Wang was Nutrawave’s Director and Chief Executive Officer.⁶ The allegations also showed that PTNNI’s management included [name]. Business registration documents further showed that when Nutrawave was first established, it was registered at an address in Thailand.⁷ According to the verification report from the Thailand AD investigation conducted by the U.S. Department of Commerce, Ms. Yue Zuo was the Director and Financial Manager of Newtrend Thailand.⁸ According to Geo, [name] was also the [position].⁹

CBP acknowledged receipt of Geo’s properly filed allegations on July 12, 2021¹⁰ and September 9, 2021.¹¹ CBP found the information in the allegations reasonably suggested that the importers entered covered merchandise for consumption into the customs territory of the United States through evasion. Consequently, on July 21, 2021, CBP initiated EAPA investigations 7663 and 7664 against Nutrawave and Starille, respectively pursuant to Title IV, section 421 of the Trade Facilitation and Trade Enforcement Act of 2015.¹² On September 13, 2021, CBP initiated

² See Geo’s Letter, “Evasion Allegation Against Nutrawave Co., Ltd. Under Title IV Section 421 of the Trade Facilitation and Enforcement Act,” dated July 9, 2021 (“*Nutrawave Allegation*”); Geo’s Letter, “Evasion Allegation Against Starille, Ltd. Under Title IV Section 421 of the Trade Facilitation and Enforcement Act,” dated July 9, 2021 (“*Starille Allegation*”); Geo’s Letter, “Evasion Allegation Against Newtrend USA Co., Ltd. d/b/a Newtrend Food Ingredients Under Title IV Section 421 of the Trade Facilitation and Enforcement Act,” dated September 7, 2021 (“*Newtrend USA Allegation*”). We refer to these collectively as (“the allegations”).

³ See *Allegations* at Exhibit 1.

⁴ See *Nutrawave Allegation* at 5.

⁵ See *Newtrend USA Allegation* at 6 and *Starille Allegation* at 5.

⁶ See *Nutrawave Allegation* at Exhibit 12.

⁷ *Id.* at Exhibit 12.

⁸ *Id.* at Exhibit 1 and Exhibit 10.

⁹ *Allegations* at Exhibit 1.

¹⁰ See Email acknowledging receipt from EAPA Allegations, “Receipt of EAPA Allegations 7663 and 7664” (July 12, 2021).

¹¹ See Email acknowledging receipt from EAPA Allegations, “Receipt of EAPA Allegations 7678 and 7679” (July 12, 2021); “Official Receipt of EAPA 7679” (September 9, 2021). See also Trade Remedy Law Enforce Directorate (“TRLED”), “Notice of Initiation of Investigation and Interim Measures – EAPA Consolidated Case Number 7663” (October 26, 2021) (“NOI”). As noted in the NOI, investigations 7678, 7679, and 7663 were consolidated into EAPA Cons. Case 7663 with the same period of investigation and deadlines based on the date of initiation in EAPA Case Number 7663.

¹² See TRLED’s Initiation checklist (July 21, 2021); TRLED’s Initiation Memo dated July 21, 2021 “Initiation of Investigation for EAPA Case Number 7663”; TRLED’s Initiation Memo dated July 21, 2021 “Initiation of Investigation for EAPA Case Number 7664”.

investigation 7679 alleging that Newtrend USA is also evading the *Order*.¹³ CBP consolidated these allegations into EAPA consolidated case number 7663.¹⁴

Cargo Exam

To further investigate the importers' entry practices, CBP conducted a cargo exam of entry number [#]3416 imported by [company] on [date]. The exam found that the packets in this shipment were labeled with "Made in Indonesia" markings stamped on the packages, along with the name and address of PTNNI.¹⁵ Each package also had a production date more than [#] months before the market researcher [conducted research] and found [process and location information]. The invoice date for this entry was also [date], almost [#] months after the claimed date of manufacture.¹⁶

Other Research Conducted by CBP

CBP also looked for information on public websites to evaluate the information in the allegation. CBP found information about glycine manufacturing and a recent scope determination by the U.S. Department of Commerce ("Commerce") in the Notice of Investigation and Interim Measures in EAPA 7270.¹⁷ CBP also found public photos of the progress of construction of PTNNI's facility posted by the industrial zone where PTNNI is located, Karawang New Industry City ("KNIC") labeled "Construction Progress through August 2020." These photos show a building with a roof held up by support beams, but there were no walls constructed and there was construction equipment on the site. There was no methanol distillation tower in the back of the building and there were open holes for installation of other structures or equipment.¹⁸ CBP also found photos from the same website labeled "KNIC Tenant Building Construction Progress Per December 2020." These photos show what appears to be the same building with the walls constructed, but there was still construction equipment on the site.¹⁹ From a different website, CBP found job advertisements for multiple different positions at PTNNI dated from June 2021.²⁰ CBP also collected entry data from ACE²¹ and trade data from [source].²² These data showed that the importers imported entries of glycine into the U.S.²³ and that the shipments were exported through [location].²⁴

¹³ See: TRLED's Initiation Memo dated September 13, 2021 "Initiation of Investigation for EAPA Case Number 7679."

¹⁴ See CBP Notice of Investigation and Interim Measures – EAPA Consolidated Case Number 7663 (October 26, 2021) ("NOI")

¹⁵ See TRLED's Memorandum "Adding Information to the Administrative Record of EAPA case 7663" dated October 19, 2022 ("Oct. 19 Memo") at Attachment 5 "Cargo Exam Results for Entry Number [#]3416".

¹⁶ *Id.* at Attachment 5 "Cargo Exam Results for Entry Number [#]3416".

¹⁷ *Id.* at Attachment 1.

¹⁸ *Id.* at Attachment 2.

¹⁹ *Id.* at Attachment 3.

²⁰ *Id.* at Attachment 4.

²¹ *Id.* at Attachment 7 and 8.

²² *Id.* at Attachment 6.

²³ *Id.* at Attachment 7.

²⁴ *Id.* at Attachment 8.

CF-28 Responses and Analysis

On August 2 and August 3, 2021, CBP issued to Starille and Nutrawave, respectively, CBP Form 28 (“CF-28”) requests for information. These CF-28s referenced entry numbers [#]2955, [#]2923, and [#]3318 from Starille²⁵ and entry numbers [#]5752, [#]4920, and [#]3012 for Nutrawave.²⁶ On September 2, 2021, CBP issued a CF-28 to Newtrend USA requesting information about entry numbers [#]1875 and [#]1867.²⁷ In each CF-28 issued, CBP requested entry summaries, shipping documents, proof of payment, and production records for the manufacturer. Both Nutrawave and Starille submitted their responses to the CF-28s on September 15, 2021²⁸ while Newtrend USA submitted its response on October 4, 2021.²⁹

CBP officials analyzed Nutrawave’s CF-28 responses and noted that several of Nutrawave’s claims appeared to contradict other record information. While the company claimed in its CF-28 response that it is unaffiliated with the Newtrend group, a former CEO of Nutrawave, Hao Wang, was also the CEO of Newtrend USA, the Group’s U.S. affiliate. CBP also found several filings on the public website of the California Secretary of State Business Registration Database where Nutrawave and Newtrend USA shared the same mailing addresses.

Nutrawave submitted production records from PTNNI with its CF-28 response claiming to show that PTNNI produced at least [#] kg of finished glycine from [dates],³⁰ but this was contradicted by photos of construction progress from KNIC’s public website that appear to show construction ongoing in December 2020³¹ and the market research report in the allegation showing construction ongoing in [month].³²

There were also some inconsistencies in Starille’s responses. The production records from PTNNI that Starille submitted with its CF-28 response claim that PTNNI began producing the glycine covered by the CF-28s and shipped to the United States in [month].³³ However, job ads for PTNNI,³⁴ photos of construction progress of its factory,³⁵ and the market research report in the allegation which showed that PTNNI had not begun production several months later in [month] contradicted this claim.

²⁵ See CF-28 issued to Starille on August 2, 2021.

²⁶ See CF-28 issued to Nutrawave on August 3, 2021.

²⁷ See CF-28 issued to NUSA on September 2, 2021.

²⁸ See Nutrawave’s letter “Re: Request for Information on Entry Nos [# , # , and #]” dated September 15, 2021 (“Nutrawave CF-28 Response”) and Starille’s letter “Re: Request for Information on Entry Nos [#]2955, [#]2923, and [#]3318” dated September 15, 2021 (“Starille CF-28 Response”).

²⁹ See Newtrend USA’s letter “Re: Request for Information on Entry Nos. [#]1875 and [#]1867” dated October 4, 2021 (“Newtrend USA CF-28”). Collectively, the Importers’ responses are referred to as “the CF-28 responses”.

³⁰ See Nutrawave CF-28 Response at Exhibit K part 1, pages 51-59 of 73.

³¹ See October 19, 2021 Memo at Attachment 3 “KNIC Tenant Building Construction Per December 2020” retrieved from: <https://knic.co.id/knic-tenant-building-construction-progress-per-december-2020>; October 19, 2021 Memo at Attachment 2 “KNIC Tenant Building Construction Per August 2020”, retrieved from: <https://knic.co.id/knic-tenants-building-construction-progress-per-august-2020>.

³² See *Allegations* at Exhibit 1.

³³ See *Starille CF-28* at Exhibit K.1, 60.

³⁴ See Oct. 19 Memo at Attachment 4.

³⁵ *Id.* at Attachments 2 and 3.

There were also discrepancies between production records and staff attendance records in Newtrend USA's CF-28 response. According to production records for a batch of glycine produced on [month], an employee named [name] performed one step from [time] until [time] for a total of only [#] minutes, but another employee, [name] took more than [time] to perform the same task the next day. Further, [name] was not working from [time] to [time], according to attendance records.³⁶

Notice of Investigation and Interim Measures

On October 26, 2021, CBP issued a notice of investigation and interim measures to the parties to the investigation. Based upon the evidence provided in the allegation and the additional information referenced above, CBP determined there was reasonable suspicion that the importers entered covered merchandise into the customs territory of the United States through evasion, and therefore imposed interim measures.³⁷

Request for Information

CBP issued Requests for Information ("RFI's") to the importers and the manufacturer on October 27, 2021. CBP asked for additional information about the corporate structures, accounting/financial practices, and sales of the importers and the manufacturer. CBP also asked for more detailed production records from the manufacturer. PTNNI submitted its RFI response on December 3, 2021³⁸ and the importers submitted their RFI responses on November 26, 2021.³⁹

In its response, PTNNI stated that it is owned by the Chinese Newtrend Group, which includes [company] and [company] which both [activity] and are located in China. According to PTNNI's response, the only subsidiaries of the group that currently produce glycine are [companies]⁴⁰ although PTNNI acknowledges that its Thai-affiliate, Newtrend Thailand produced glycine before the start of the POI.⁴¹

CBP observed that PTNNI failed to provide some of the information requested by CBP. Specifically, CBP requested an explanation of the capacity of each piece of equipment in PTNNI's factory and documentation for the sourcing of all inputs. PTNNI instead provided only an estimate of the capacity of the entire factory, photos of some equipment, and did not provide information about where it sourced [input].⁴²

³⁶ *Id.* at Exhibit K, batch number [#], 30.

³⁷ See CBP Notice of Investigation and Interim Measures – EAPA Consolidated Case Number 7664 (October 26, 2021) ("NOI"). EAPA regulations require CBP to notify interested parties 5 business days (which in this case, was 7 calendar days) after day 90 if an investigation is continued and interim measures are imposed, see 19 CFR § 165.15 and 19 CFR § 165.24

³⁸ See PTNNI's letter "EAPA Consol. Case No. 7663 – Submission of October 27, 2021, RFI Response" dated December 3, 2021 ("PTNNI RFI Response").

³⁹ See Newtrend USA's letter "EAPA Consol. Case No. 7663 – Submission of October 27, 2021, RFI Response" dated November 26, 2021 ("Newtrend USA RFI Response"); Starille's letter "EAPA Consol. Case No. 7663 – Submission of October 27, 2021, RFI Response" dated November 26, 2021 ("Starille USA RFI Response"); and Nutrawave Co., Ltd.'s letter "EAPA Consol. Case No. 7663 – Submission of October 27, 2021, RFI Response" dated November 26, 2021 ("Nutrawave RFI Response").

⁴⁰ See PTNNI RFI Response at Exhibit 5.

⁴¹ *Id.* at Exhibit 40.

⁴² See PTNNI RFI Response at 18 and 13.

In its response, Starille stated that that it is not part of a group or affiliated with any other company.⁴³ This importer also purchased [description] of its glycine during the POI from PTNNI. Starille stated that it sold all of its glycine to [company].⁴⁴ Starille also stated that it had an [description of finances] of \$[#] in the period from [month] to [month].⁴⁵

CBP asked Nutrawave if it had other suppliers of glycine, how it found PTNNI as a supplier, and if Nutrawave was affiliated with any corporate group. The importer stated that it is not part of a group and is not owned or controlled by any other company. However, Nutrawave also stated that [#] percent of the glycine it purchased was supplied directly or indirectly from PTNNI. This includes Nutrawave's purchase of all the glycine [company] imported from PTNNI, in addition to Nutrawave's purchases directly from the manufacturer. Nutrawave further states that "{t}o date, all of Nutrawave's customers have been referred by [company]".⁴⁶ This same individual also recommended that Nutrawave sell its glycine to [company].⁴⁷ Nutrawave also provided CBP with a copy of its 2019 tax return, which was filed with the [description] mailing address that [company] uses to [activity] in New York State.⁴⁸ These responses appeared to contradict Nutrawave's claim to be unaffiliated with the Newtrend Group.

In its RFI response, Newtrend USA also submitted CBP's verification report from EAPA 7270,⁴⁹ the Department of Commerce's second verification report from the Thailand antidumping duty investigation (A-549-837) dated June 20, 2019,⁵⁰ and Commerce's Issues and Decision Memorandum ("IDM") in A-549-837.⁵¹ Notably, in EAPA 7270 CBP determined that Newtrend Thailand was not transshipping Chinese-origin merchandise. Notably, Commerce's position after evaluating the case briefs was that "{w}e {Commerce} agree with the petitioners {Geo} that the application of AFA {adverse facts available} pursuant to sections 776(a) and (b) of the Act is warranted due to Newtrend Thailand's failure to provide Commerce with complete, accurate, and reliable COP information, despite having had multiple opportunities to do so."⁵² Commerce further stated that "{w}hile Newtrend Thailand was given ample opportunity (initial questionnaire, two supplemental questionnaires, several extensions, and two cost verifications) to provide complete and accurate details of its production process, to identify all production inputs and byproducts generated, to report production costs that account for all inputs consumed, and to provide accurate and transparent consumption rates associated with each stage of the glycine production process, it has failed to provide all such information in a complete, accurate, and timely manner."⁵³

⁴³ See Starille RFI Response at 4-5.

⁴⁴ *Id.* at 10.

⁴⁵ *Id.* at Exhibit 3.

⁴⁶ See Nutrawave RFI Response at 10.

⁴⁷ *Id.* at 10.

⁴⁸ *Id.* at Exhibit 6.

⁴⁹ See Newtrend USA RFI Response at Exhibit 19. In EAPA 7270 CBP investigated an allegation that Newtrend Thailand was transshipping Chinese glycine through Thailand. CBP determined that there was no evasion in this case.

⁵⁰ *Id.* at Exhibit 20.

⁵¹ *Id.* at Exhibit 21.

⁵² *Id.* at Exhibit 21, page 13.

⁵³ *Id.* at Exhibit 21, page 17.

Supplemental RFI

To further investigate, CBP issued supplemental RFIs to PTNNI and the importers on December 17, 2021.⁵⁴ The importers submitted their supplemental RFI responses on January 11, 2022⁵⁵ and PTNNI submitted its supplemental RFI response on January 18, 2022.⁵⁶ CBP requested additional information about the relationships between the importers and the Newtrend Group, additional production information, and clarification about material consumption at PTNNI.

The supplemental RFI responses revealed additional discrepancies. For example, PTNNI provided monthly production of intermediate glycine and consumption of raw materials that contradicts information provided in the CF-28 responses. While the importers and PTNNI reported a methanol consumption rate of [#] kg per kilogram of intermediate glycine production in Exhibit J of the CF-28 responses,⁵⁷ methanol consumption reported in the supplemental RFI responses varied from [#] kg to [#] kg per kg of intermediate glycine produced in various months.⁵⁸ Notably, [#] kg is almost [#] percent higher than [#] kg.

Methanol is an important production input because it is used to make solid glycine crystals that can be separated easily from other chemicals. PTNNI's production flow chart shows that methanol is an absolutely essential input for making solid intermediate glycine because when the glycine solution is cooled and then methanol is added, intermediate glycine precipitates out of the liquid solution of chemicals created in earlier production steps. Without this chemical, it is impossible to separate intermediate glycine (a solid) from the liquid solution. PTNNI did not provide a plausible explanation for why consumption of this input vary by as much as [#] percent from one month to another. Methanol filters glycine, an especially important step in production of the USP-grade glycine PTNNI manufactures because this grade is considered suitable for human consumption as a food additive. Therefore, it is essential to use an adequate volume of methanol in each production batch.

The different consumption rates reported for different months in PTNNI's supplemental RFI response, which were also much lower than the fixed consumption rate reported in CF-28 responses, therefore indicated that PTNNI may not have produced all of the intermediate glycine it claimed in some months.⁵⁹ The enormous discrepancies in reported methanol consumption rates are particularly notable in light of Commerce's IDM where Commerce wrote that "{w}hile Newtrend Thailand was given ample opportunity {...} to provide accurate and transparent

⁵⁴ See CBP's Letter to Starille "RE: EAPA 7663 - Supplemental Request for Information," dated December 17, 2021 ("Starille Supp RFI"); CBP's Letter to Nutrawave "RE: EAPA 7663 - Supplemental Request for Information," dated December 17, 2021 ("Nutrawave Supp RFI"); CBP's Letter to Newtrend USA "RE: EAPA 7663 - Supplemental Request for Information," dated December 17, 2021 ("Newtrend USA Supp RFI"); and CBP's Letter to PTNNI "RE: EAPA 7663 - Supplemental Request for Information," dated December 17, 2021 ("PTNNI Supp RFI").

⁵⁵ See Newtrend USA's Letter "EAPA Consol. Case No. 7663 – Submission of Newtrend USA's Supplemental RFI Response," dated January 11, 2022 ("Newtrend USA Supp RFI Response"); and Starille's Letter "EAPA Consol. Case No. 7663 – Submission of Starille's Supplemental RFI Response" dated January 11, 2022 ("Starille Supp RFI Response"); see also Nutrawave's letter "EAPA Consol. Case No. 7663 – Submission of Nutrawave's Supplemental RFI Response" Dated January 11, 2022 ("Nutrawave Supp RFI Response").

⁵⁶ See PTNNI's letter "EAPA Consol. Case No. 7663 – Submission of PTNNI's Supplemental RFI Response" dated January 18, 2022 ("PTNNI Supp RFI Response").

⁵⁷ See Nutrawave CF-28 Response, Starille CF-28 Response, and Newtrend USA CF-28 Response at Exhibit J.

⁵⁸ See PTNNI Supp RFI Response at Exhibit SQ-V-18a and at Exhibit SQ-V-4.

⁵⁹ See PTNNI Supp RFI Response at Exhibit SQ-19 and CF-28 Responses at Exhibit J. See also TRLED June 15 PD Memo at Attachment 5 and PTNNI Response to Alleger's RFI Rebuttal at Exhibit 5.

consumption rates associated with each stage of the glycine production process, it has failed to provide all such information in a complete, accurate, and timely manner.”⁶⁰

CBP also asked for specific job titles and descriptions for all employees, as well as the dates when foreign workers entered and left Indonesia. Exhibit SQ-V-14 shows that one Thai supervisor, [name], arrived in Indonesia on [month]. All the other Thai workers arrived in Indonesia on [month] and [month].⁶¹

There were also inconsistencies between wage calculations created for payroll and the attendance records that PTNNI furnished with the supplemental RFI response. Wage calculations PTNNI provided show that the manufacturer only paid its Thai employees starting in [month]⁶² even though it claimed that these workers trained the Indonesian production staff who began production in October 2020 and stated that the Thai employees arrived in [month]. PTNNI also said that it takes [#] months to train new workers.⁶³ This appeared inconsistent with PTNNI’s previous claim that on [month] it had full-scale production, only [time period] after PTNNI claims to have started operating.

The attendance records show the days when each employee actually worked, while the wage calculations show the number of days the company paid each worker for during each month. The wage calculations only counted [#] days for [name] and [#] days for [name] in [Month].⁶⁴ However, by counting the number of days these two employees were present according to the attendance records, CBP discovered that attendance records show that these employees worked [#] days and [#] days, respectively in [Month].⁶⁵

Notably, these inconsistencies in PTNNI’s supplemental RFI response are not the first discrepancies CBP observed with PTNNI’s labor, payroll, and attendance records. CBP also noted in the NOI that CF-28 responses showed one worker performing a production task at a time when according to attendance records, he was absent.⁶⁶ These inconsistencies, when combined with the absence of Thai trainers for the first [#] weeks of production (if they actually arrived in [Month] and not [month]) show a pattern of unreliable statements about workers in PTNNI responses.

CBP also asked Starille how it found PTNNI as a supplier, if the importer had ever received loans from the Group, and how Starille found [company] as a customer. In its response, Starille indicated that it made [description] to find any glycine suppliers other than PTNNI and that it purchased glycine from PTNNI on the recommendation of the Newtrend Group’s [name and position]. Starille also sold [description] its glycine to [company] based on [name]’s advice.⁶⁷ Starille also stated that he provided Starille with a loan of \$[#], with no [description of loan terms], no [description of loan terms], and [description of loan terms].⁶⁸

⁶⁰ See PTNNI RFI Response at Exhibit 21, p. 17.

⁶¹ *Id.* at SQ-V-15

⁶² See PTNNI Supp RFI Response at SQ-V-12.

⁶³ *Id.* at 26.

⁶⁴ *Id.* at SQ-V-12.

⁶⁵ *Id.* at Exhibit SQ-V-13a.

⁶⁶ See NOI at 8.

⁶⁷ See Starille Supp RFI response at 1-2.

⁶⁸ *Id.* at 3 and Exhibit SQ-3.

CBP asked Nutrawave why it was registered at the same address as Newtrend USA, and if Nutrawave knew that Hao Wang was a senior manager at Group when he became Nutrawave's CEO. Nutrawave acknowledged that the company was aware that Hao Wang was a senior Newtrend Group official when he was hired as Nutrawave's CEO, and that Nutrawave was registered at the same address as Newtrend USA because this was [name]'s address.⁶⁹ The importer also indicated [company] lent Nutrawave \$[#]⁷⁰ and that [name] lent Nutrawave another \$[#].⁷¹ These responses appear inconsistent with Nutrawave's claims to be unaffiliated with the Group.

Second Supplemental RFI

On February 8, 2022, CBP sent the manufacturer and importers a second supplemental RFI.⁷² The importers responded on March 4, 2022⁷³ and PTNNI submitted its response on March 9, 2022.⁷⁴ CBP asked PTNNI when Newtrend Thailand ceased glycine production and also asked for more details about the family relationships between Newtrend USA's president, Hao Wang, and other senior leaders of the Group. CBP also asked Nutrawave for a list of all CEOs, the start and end dates of their employment, and their relationship with Group senior executives.

In its response, Nutrawave indicated that [name], one of Nutrawave's CEO's, is the [relationship] of Hao Wang, Nutrawave's first CEO. Nutrawave also explained that [name] is the [nephew] of [name], the [position] of the Group. Nutrawave further explained that [name], a manager at PTNNI and former employee of [company], is also the [relationship] of the two Nutrawave CEOs, Hao Wang and [name].⁷⁵ These two managed Nutrawave from [month] until [month].⁷⁶ PTNNI also stated that Newtrend Thailand ceased production of glycine in [month].⁷⁷

CBP also asked PTNNI why there appeared to be a discrepancy between the dates when the Thai works arrived, the dates they were hired by PTNNI, and the dates when they were first paid. PTNNI responded that "The initial arrangement between PTNNI and Newtrend Thailand for the Thai employees to work at PTNNI can be thought of as a similar to a secondment." PTNNI further stated that throughout the time they worked at PTNNI, the Thai workers were paid by Newtrend Thailand rather than by PTNNI, but PTNNI began paying a meal allowance to the Thais in [month]. The company further elaborated that since the Thai workers still could not return home in June 2021 due to Covid-19 travel restrictions, PTNNI began paying them a salary in that month.⁷⁸

⁶⁹ See Nutrawave Supp RFI response at 2-3.

⁷⁰ See Nutrawave Supp RFI Response at 6.

⁷¹ *Id.* at 6 and Exhibit SQ-3.

⁷² See CBP's letter to Starille "EAPA Case No. 7663" dated February 8, 2022 ("2nd Supp RFI to Starille"); CBP's letter to PTNNI "EAPA Case No. 7663" dated February 8, 2022 ("2nd Supp RFI to PTNNI"); CBP's letter to Nutrawave "EAPA Case No. 7663" dated February 8, 2022 ("2nd Supp RFI to Nutrawave"); and CBP's letter to Newtrend USA "EAPA Case No. 7663" dated February 8, 2022 ("2nd Supp RFI to Newtrend USA").

⁷³ See Nutrawave Co., Ltd.'s letter "RE: EAPA Cons. Case 7663 – Submission of Nutrawave's Supplemental RFI Response" dated March 4, 2022 ("Nutrawave 2nd Supp RFI"); and Starille, Ltd.'s letter "RE: EAPA Cons. Case 7663 – Submission of Starille's Supplemental RFI Response" dated March 4, 2022 ("Starille 2nd Supp RFI Response"); see also Newtrend USA Co., Ltd.'s letter "RE: EAPA Cons. Case 7663 – Submission of Newtrend USA's Supplemental RFI Response" dated March 4, 2022 (Newtrend USA 2nd Supp RFI).

⁷⁴ See PTNNI's letter "RE: EAPA Cons. Case 7663 – Submission of PTNNI's Supplemental RFI Response" dated March 9, 2022 ("PTNNI 2nd Supp RFI Response").

⁷⁵ See Nutrawave 2nd Supp RFI Response at 2.

⁷⁶ *Id.* at 1.

⁷⁷ See PTNNI 2nd Supp RFI Response at 1.

⁷⁸ *Id.* at 18-19.

CBP also asked PTNNI why there was considerable monthly variation in the quantity of raw materials consumed to produce one kilogram of intermediate glycine in its supplemental RFI response at Exhibit SQ-V-4. PTNNI responded that “PTNNI respectfully disagrees with CBP’s assertion that there is ‘considerable variation’ in the quantity of inputs consumed per unit of intermediate glycine produced. Using the values originally reported in Exhibit SQ-V-4, PTNNI has calculated the approximate per unit amount per month of each raw material to produce one unit of intermediate glycine and the standard deviation amongst the reported set.”⁷⁹ This response did not directly answer CBP’s question or address the variation in the monthly consumption rates for methanol and [**input**] in PTNNI’s supplemental RFI response.

Voluntary Factual Information

On December 21, 2021 the alleged submitted factual information in response to PTNNI’s first RFI response.⁸⁰ The alleged asserted that the information in PTNNI’s RFI response was likely false because the factory could not have been fully constructed before the production start date and supported this contention by submitting an affidavit from the Plant Manager of Geo’s U.S. production facility stating that it would be impossible to construct a glycine factory in less than 11 months.⁸¹

The alleged further claimed that PTNNI’s electricity, water, and natural gas bills were too low. Geo cited an affidavit from the Vice President of Operations for [**company name**], a [**location**] glycine producer that uses the same MCA production process as PTNNI, to argue that it would cost more for these utilities than what PTNNI paid to produce the volume of glycine imported from PTNNI during the POI.⁸²

Geo also asserted that PTNNI did not purchase enough raw materials.⁸³ Geo supported this contention with trade data from a trade data subscription service and raw material consumption rates from a factory in India that uses the same MCA glycine production process as PTNNI. The Indian factory uses at least [**#**] kg of methanol per kg of intermediate glycine produced.⁸⁴

On January 3, 2022, PTNNI and the importers submitted information in rebuttal to Geo’s December 13 submission.⁸⁵ PTNNI asserted that the time it would take to build a factory in the U.S. is not relevant to the timing of construction in Indonesia because construction and labor standards are different there.⁸⁶ The manufacturer supported their contention that the factory had equipment installed by submitting equipment installation records for one [**type of equipment**], one [**type of equipment**]⁸⁷, one [**type of equipment**] (which notably does not match the name of any

⁷⁹ *Id.* at 26. CBP asked PTNNI about variation in raw materials, not only methanol, because [**input**] consumption also varied considerably from month-to-month in PTNNI’s Supp RFI Response.

⁸⁰ See Geo’s letter “EAPA Case No. 7663: Comments on and Submissions of Factual Information in Rebuttal to Importers’ November 26, 2021, RFI Response and PT Newtrend’s December 3, 2021, RFI Response” dated December 21, 2021 (“Geo first RFI Rebuttal”).

⁸¹ *Id.* at 1-2 and Exhibit 1.

⁸² *Id.* at 3-4 and Exhibit 2.

⁸³ *Id.* at 8-10 and Exhibit 5.

⁸⁴ *Id.* at Exhibit 5. Notably, this does not include recycled methanol.

⁸⁵ See PTNNI and Importers’ Letter “EAPA Consol. Case No. 7663 – Submission of Rebuttal to GEO’s December 21, 2021” dated January 3, 2022 (“PTNNI Response to Allegor’s RFI Rebuttal”).

⁸⁶ *Id.* at 2.

⁸⁷ *Id.* at Exhibit 3.

piece of equipment PTNNI included in the lists of equipment it provided in RFI responses)⁸⁸, and eight [type of equipment] all installed in [month].⁸⁹

The importers and manufacturer also submitted an affidavit from [name], the director of PTNNI, stating that seven months is a plausible timeframe to build an Indonesian factory and that he personally oversaw the installation of the equipment in the installation records.⁹⁰ PTNNI and the importers further argued that the amount of electricity and water used in a glycine factory like PTNNI's that uses the MCA process would be lower than the consumption rate at a glycine facility that uses Geo's production process, the "streeker" production process, which uses hydrogen and cyanide as raw materials.⁹¹ (Notably, the information submitted by the alleged came from [company], a [location] glycine producer, and an Indian producer that both use the same MCA process as PTNNI.⁹²

PTNNI and the importers also claimed that rates of raw material consumption would vary from one factory to another, and that PTNNI's MCA process is usually a "semibatch" process that reduces raw material consumption compared with the consumption rates used by Geo. To support this argument, PTNNI and the importers submitted part of the patent for this semi-batch process.⁹³ However, this information does not support the manufacturer's contention that their production process is different from [company]'s because [company] is the [description] cited by PTNNI and uses the same process described in this patent that PTNNI uses. Therefore, the consumption rates provided by the alleged based on [company]'s experience should be similar to consumption rates of other glycine factories using the same MCA production process, including PTNNI.

PTNNI further asserted that due to the "wide variation in methods and sub-methods of production of glycine" consumption rates for electricity, natural gas, water, and raw materials would likely be different between different factories around the world. They specifically claimed that the Indian factory cited by the alleged uses an "ammoniation" {sic.} process without providing any explanation for how this is different from PTNNI's MCA process. Both the information provided by PTNNI, and the information submitted by the alleged show that this Indian producer manufactures glycine by combining MCA and ammonia with a hexamine catalyst, the MCA process.⁹⁴ PTNNI and the importers also specifically claimed that the Indian producer uses ammonia in [description] form, while PTNNI uses ammonia in [description]. PTNNI claimed that this difference would cause their consumption rates for raw materials to be quite different from the consumption rates of the Indian factory, without providing any support for this claim.⁹⁵

On February 14, 2022, the manufacturer and importers submitted additional voluntary factual information.⁹⁶ They assert that the Indonesian government requires bills of lading and packing lists for applications for country-of-origin certificates. Therefore, all country-of-origin certificates

⁸⁸ See PTNNI RFI Response to Alleger's RFI Rebuttal at Exhibit 15, PTNNI Supp RFI Response at SQ-V-18B, and PTNNI 2nd Supp RFI Response at Exhibit SQ2-IV-13.

⁸⁹ See PTNNI Response to Alleger's RFI Rebuttal at Exhibit 3

⁹⁰ *Id.* at Exhibit 4.

⁹¹ *Id.* at 5-7.

⁹² See Geo First RFI Rebuttal at Exhibit 2 and Exhibit 5.

⁹³ See PTNNI Response to Alleger's RFI Rebuttal at 8 and Exhibit 5.

⁹⁴ See PTNNI Response to Alleger's RFI Rebuttal at Exhibit 5 and Geo First RFI Rebuttal at Exhibit 2.

⁹⁵ See PTNNI Response to Alleger's RFI Rebuttal at 8 and Exhibit 6.

⁹⁶ See PTNNI's letter "RE: EAPA Consol. Case No. 7663--Voluntary Submission of Factual Information" dated February 14, 2022 ("PTNNI Feb 14 Factual Info").

issued by the Indonesian government must be dated after the date of exportation.⁹⁷ They also provided publicly available trade statistics from an Indonesian government website to show that Indonesia had no imports of glycine from Thailand during the POI.⁹⁸ They further provided sales reconciliations for all the Chinese and Thai affiliates of the Group. Based on these records, the Thai and mainland Chinese affiliates of the Group had no direct sales to PTNNI and Newtrend Thailand had no sales to Indonesia.⁹⁹

Verification

From May 3-6, 2022, CBP officials visited the site of PTNNI's factory in Indonesia to verify PTNNI's responses. During the verification, CBP interviewed PTNNI employees about company operations and organization, toured PTNNI's facility to witness glycine production, and reviewed accounting records of production and sales records associated with imports of glycine by the importers. On June 13, 2022, CBP issued a report summarizing its verification findings and placed this report on the record of the investigation. CBP also provided parties to the investigation notice of the extended deadline for written argument.

At verification, CBP officials observed serious problems with the first three stages of PTNNI's production process. The importers and manufacturer declared that the PTNNI produced USP-grade glycine in Indonesia and then sold it to the importers. Manufacturing USP-grade glycine is a multi-step process that requires specific equipment, labor, and raw materials. CBP's verification team observed the following deficiencies during the plant tour:

1. First Production Step – MCA [process]

In the first production step, PTNNI [description of input and process] into water. MCA is dangerous because it is highly acidic and can cause fatal burns, eye irritation, and poisoning. CBP officials at verification witnessed PTNNI personnel mishandling these [input] while preparing them for the [process] stage, potentially endangering CBP staff. As result, CBP officials could not observe this step of the production process.¹⁰⁰

2. Second Production Step -Mixing MCA, Hexamine and Ammonia¹⁰¹

In the second stage, PTNNI mixes three chemicals, MCA, ammonia, and hexamine, to create a chemical reaction that produces a liquid slurry containing intermediate glycine and impurities, such as ammonium chloride.¹⁰² Both pH and temperature must be precisely monitored during this reaction. According to information provided by the alleged from a chemical engineer with experience working in a glycine factory “pH control is the penultimate concern in the production of glycine. {...}Without precise pH probes, it is impossible to manufacture glycine on a bulk basis.”¹⁰³

⁹⁷ *Id.* at 1-2.

⁹⁸ *Id.* at Exhibit 5 and Exhibit 6.

⁹⁹ *Id.* at Exhibits 7-18.

¹⁰⁰ See Verification Report at 6.

¹⁰¹ See PTNNI also calls this step “ammonization” (PTNNI Supp RFI at Exhibit SQ-V-19).

¹⁰² See PTNNI Supp RFI at Exhibit SQ-19 and CF-28 Responses at Exhibit J. According to the CF-28 responses ammonium chloride is the main waste product produced at this stage.

¹⁰³ See Geo NFI rebuttal at Exhibit 1.

At verification, PTNNI officials stated that their pH meter is not accurate, and that the manufacturer relies on pH strips to test the pH. These strips can only determine pH within a range, such as such as 6.0 to 6.5 rather than the precise measurements (such as 6.7 or 6.9) recorded on production records.¹⁰⁴ This suggests that PTNNI may not be capable of the precise pH monitoring needed to sustain industrial-scale glycine production. Notably, CBP officials also did not observe any employees filling out production records while production occurred,¹⁰⁵ which further indicates that pH levels recorded on production records were inaccurate. This also means that other information about this step -including the names of employees performing it; the temperatures of the reaction; the start and end times for the reaction; and the quantities of ammonia, MCA, and Hexamine consumed- were not recorded accurately or precisely.

3. Third Step - Alcohol Precipitation

In the next production step, the liquid slurry of glycine and ammonium chloride must be transferred to a different receptacle where it is mixed with methanol, a type of alcohol, after cooling. This separates the intermediate glycine into solid crystals floating in the liquid.¹⁰⁶ According to the patent for PTNNI's production process, impurities such as ammonium chloride dissolve in the methanol but glycine does not.¹⁰⁷ Thus, methanol is an absolutely essential input into the production process because it separates glycine in a solid state from ammonium chloride, which is dissolved into the methanol and remains liquid. PTNNI needs to consume an adequate quantity of methanol because PTNNI claims to produce glycine at a level of purity that is fit for human consumption.

However, CBP did not witness PTNNI employees using any methanol at verification, even though CBP officials asked to see this essential production step on three separate days.¹⁰⁸ Further, the only storage tank for methanol that CBP employees observed at verification likely contained hydrochloric acid instead of methanol because the material safety data sheet on the methanol tanks states that the contents are hydrochloric acid. The material safety data sheet further listed the correct pH and Chemical Abstracts Services number for hydrochloric acid rather than for methanol.¹⁰⁹ Since this was the only methanol tank observed by CBP, it means that CBP did not observe any methanol stored at PTNNI's factory.¹¹⁰ It is simply impossible to produce glycine using the process described in PTNNI's production flow chart and in the patent PTNNI placed on the record of this investigation without methanol.

CBP also calculated that PTNNI did not purchase enough methanol to produce the volume of glycine they claim to have produced, based on a consumption rate PTNNI and the importers provided in their CF-28 responses. PTNNI would have needed [#] kg of methanol to produce the volume of glycine it claims to have manufactured during the POI. However, PTNNI only purchased [#] kg of methanol.¹¹¹ Notably, CBP found a much higher consumption rate than the one used in this analysis when CBP calculated a consumption rate using an actual production

¹⁰⁴ See Verification Report at 15 and Attachment VI.

¹⁰⁵ *Id.* at 5.

¹⁰⁶ See PTNNI Supp RFI at Exhibit SQ-19 and CF-28 Responses at Exhibit J. See also the patent in TRLED June 15 PD Memo at Attachment 5 and PTNNI Response to Alleger's RFI Rebuttal at Exhibit 5. The patent describes this as a "cooling zone"

¹⁰⁷ See TRLED June 15 PD Memo at Attachment 5 and PTNNI Response to Alleger's RFI Rebuttal at Exhibit 5.

¹⁰⁸ See Verification Report at 5-6.

¹⁰⁹ *Id.* at 16 and Attachment IV.

¹¹⁰ *Id.* at 5 and Attachment IV.

¹¹¹ *Id.* at 16.

batch.¹¹² Although this consumption rate is only based on a single production batch, it would be very unlikely to have an average monthly consumption rate of [#] kg of methanol, the average consumption rate PTNNI calculated using the monthly data provided in RFI responses when individual production batches show consumption rates as high as [#] kg of methanol. Mathematically, there would need to be many other batches with a correspondingly low methanol consumption rate to offset the [#] kg rate observed for one batch. The consumption rate reported in the CF-28 responses is also lower than the consumption rate for an Indian producer using the same production process as PTNNI.¹¹³ Therefore this analysis gives PTNNI and the importers the benefit of the doubt by using their consumption rate, even though it is much lower than some other consumption rates on the record.

4. Seventh Step – Filtering

CBP also did not observe a later step, the filtering of intermediate glycine with [input] to increase its purity level so that it becomes refined glycine that meets the USP-grade standard. According to PTNNI's production process, the manufacturer dissolves intermediate glycine in a liquid called [input]. This liquid solution is then filtered using [input] to remove impurities. CBP asked to see this step on three separate days, but PTNNI refused to show it. CBP also calculated that PTNNI only purchased [#] kg of [input] during the POI, but would have needed [#] kg to produce the volume of finished glycine it sold to the importers, leaving a shortage of [#] kg, more than [#] percent.¹¹⁴ This calculation was also based on actual production batches of refined glycine from a sales reviewed by CBP and placed on the record as verification Exhibit 2. As with methanol, it is critical for PTNNI to consume an adequate volume of [input] because PTNNI must purify glycine adequately before selling it as USP-grade, pure enough for human consumption.

5. Methanol Recycling

CBP officials also noted some problems with the process of methanol recycling at PTNNI. Workers in the methanol distillation tower control room told CBP officials that there were no controls other than a switch to turn the distillation tower on and off. There was a computer which they claimed monitored the recovery of recycled methanol in the distillation tower, but it did not control anything, and could neither save nor print any records. These workers could not explain the methanol recycling and claimed to have learned their jobs in only a few weeks.¹¹⁵

6. Inconsistencies with PTNNI's Utilities and Raw Material Purchases

In addition to problems with individual production steps, CBP also witnessed inconsistencies related to PTNNI's raw material and utilities purchases affecting the entire production process. CBP noted that for every input PTNNI claimed to have purchased, there were unpaid invoices. PTNNI claimed that it deliberately withheld payment of these invoices because its suppliers provided low quality inputs. Company officials stated that in response to PTNNI's complaints, some suppliers extended the repayment deadline by [#] days. However, CBP officials noted that many of the unpaid invoices were older than [#] months. PTNNI provided no explanation

¹¹² *Id.* at 16.

¹¹³ See Geo first RFI Rebuttal at Exhibit 5.

¹¹⁴ See Verification Report at 17.

¹¹⁵ *Id.* at 15.

for this inconsistency. Further, PTNNI provided no explanation for why it continued to source raw materials from suppliers of low-quality inputs.¹¹⁶

PTNNI's claim at verification that its suppliers provided low quality inputs also contradicted its previous claims. CBP directly asked PTNNI in the second supplemental RFI "{a}s an affiliate of an established glycine producer, why does PTNNI not select suppliers who can guarantee standard quality of raw materials?"¹¹⁷ Notably PTNNI responded by stating that "{a}t no point did PTNNI state that its suppliers cannot guarantee "***standard*** quality of raw materials {boldface and italics in the original}."¹¹⁸

Nonetheless, PTNNI also claimed that its natural gas supplier provided inconsistent and at times, low quality natural gas to explain why its natural gas consumption spiked in [date]. The company stated that it first observed the low quality gas in [date] or [date], which was inconsistent with the timing of the [date] spike.¹¹⁹ When CBP asked for documentation of the low quality gas, PTNNI provided a letter that was even more inconsistent with PTNNI's timeline of events because the letter was dated [date] and it stated that "{i}n [date], our company {PTNNI} found that the quality of raw materials provided by your company was [description]."¹²⁰

CBP noted discrepancies with other utilities at verification. The verification team asked PTNNI to explain why its electricity consumption also spiked in [date]. PTNNI responded that it installed a new piece of equipment called an evaporative condenser in [date] which used a lot of electricity.¹²¹ CBP noted that this timeline was inconsistent because the consumption spiked in [date] rather than in [date], but PTNNI provided no explanation for this discrepancy. Therefore, CBP asked PTNNI to provide additional documentation that the evaporative condenser was installed in [date]. PTNNI provided results of a test showing [description], but this test made no mention of the evaporative condenser and no mention of installing equipment.¹²² Notably, this explanation was also inconsistent with PTNNI's statement in its RFI response that after October 1, 2020 "PTNNI did not install additional production equipment or construct new facilities within the current factory."¹²³

CBP officials observed a tank with stenciling clearly stating that it contained ammonia in [description] form and PTNNI employees confirmed that they use ammonia in [description] form while explaining their maintenance records.¹²⁴ Notably, PTNNI previously argued that CBP should disregard the allegor's information about consumption rates of an Indian glycine producer because PTNNI uses ammonia in [description] form while the Indian producer uses it in [description] form. This was a false statement and therefore, PTNNI's consumption rate should be similar to the Indian producers.¹²⁵

7. Problems with Labor

¹¹⁶ *Id.* at 9 and 12.

¹¹⁷ *See* PTNNI 2nd Supp RFI at 8.

¹¹⁸ *Id.* at 28.

¹¹⁹ *See* Verification Report at 13.

¹²⁰ *See* Verification Exhibit 13 at page 5 of 23.

¹²¹ *Id.* at 13.

¹²² *See* Verification Exhibit 11.

¹²³ *See* PTNNI Supp RFI Response at 13.

¹²⁴ *Id.* at 9 and Attachment V.

¹²⁵ PTNNI Response to Allegor's RFI Rebuttal at Exhibit 5

At verification, CBP officials also noted discrepancies in PTNNI's statement about labor. CBP officials asked production workers which tasks they could perform and each one stated they could only perform one task and only worked at one production step.¹²⁶ In its Second supplemental RFI response, PTNI stated that their workers have no fixed task and could perform all tasks needed for production.¹²⁷ This means that PTNNI made a false statement to CBP in the second supplemental RFI response that obscures whether or not PTNNI had workers with the skills and training to operate each piece of equipment. The lack of training of workers in the methanol distillation tower control room further supports concerns that while PTNNI may have had workers throughout the POI, they may not have had adequate training for large-scale glycine production.¹²⁸ CBP officials were also not able to witness some steps of the production process because PTNNI did not provide any safety equipment for the factory tour and PTNNI employees did not use safety gear either. Additionally, CBP observed workers handling what was described as MCA unsafely, which indicates that they were inadequately trained.¹²⁹

Inside PTNNI's office there were no office support staff. PTNNI claimed they were all on vacation for the Eid al-Fitri Indonesian national holiday. However, the General manager could not name a single one of these employees, even though their desks were less than 20 feet from his office. Instead, he asked [name], who works in [location] not at PTNNI, the names of the office staff.¹³⁰

CBP officials did not observe any company employees filling out production records in the factory.¹³¹ This means that information on production records -including the names of employees performing each task, the pH in the kettles where ammonia and MCA were combined, the temperatures, the start and end times of production tasks, and the quantities of raw materials consumed at each production run- were at best, educated guesses based on supervisors' memories from hours or even days after production runs.

CBP employees could not verify the presence of workers listed in production records from the POI because all workers CBP officials interviewed had worked at the factory [#] months or less, except for [name], the supervisor, even though PTNNI has purportedly been producing since October 2020. Further, CBP could match the names of only [#] employees from a Whatsapp chat employees used to clock in and out of work with the list of about [#] employees found in Exhibit 28 of the RFI¹³² response or SQ-V-14 in PTNNI's supplemental RFI response.¹³³ Further, PTNNI was unable to trace payment of wages from [date] until [date] to any bank statement or other financial document, except for PTNNI's [document]. Thus, PTNNI could not provide validation from a bank to prove that the manufacturer had received any money or disbursed any money for worker salaries during this time period.¹³⁴ During review of sales traces, CBP officials also discovered that workers' dates and times of attendance did not match the dates and times when they were supposed to have performed production steps.¹³⁵ CBP officials also noted that payroll records did not match attendance records because workers were paid for days when

¹²⁶ *Id.* at 15.

¹²⁷ *See* PTNNI 2nd Supp RFI at 24.

¹²⁸ *Id.* at 15.

¹²⁹ *Id.* at 6 and 14.

¹³⁰ *Id.* at 15.

¹³¹ *See* Verification Report at 5.

¹³² *See* PTNNI RFI at Exhibit 28 and PTNNI 2nd RFI response at SQ2-IV-6.

¹³³ *Id.* at 15 and Verification Exhibit 8. *See also* PTTNI supp RFI Response at Exhibit SQ-V-14.

¹³⁴ *Id.* at 11-12.

¹³⁵ *Id.* at 15 and Verification Exhibit 7.

the factory was closed and they were not working.¹³⁶ It is notable that CBP also found similar discrepancies in the CF-28 responses and in PTNNI's supplemental RFI responses. CBP has therefore, found significant errors and problems with PTNNI's labor records throughout the course of this investigation.

8. Other Problems

Many rooms in the factory had operating instructions on the walls dated from [date].¹³⁷ However, these instructions were clearly posted after that date because photos of construction progress of the factory on KNIC's website show that no walls were constructed on [date]. PTNNI stated that the construction photos showing the factory building with walls not yet constructed were taken in late July 2020.¹³⁸ This indicates that these documents were likely posted to mislead CBP's verification team.

PTNNI officials acknowledged that no entries in the cash journal from [date] to [date] were actually recorded at that time. Instead, Ms. [name] began to maintain the cash journal only in [date] and created entries for previous months based on the recollections of remaining Indonesian office workers.¹³⁹

CBP also noted several inconsistencies in the maintenance records. The maintenance records showed that a PTNNI employee inspected the equipment every day the company was operational. However, these records only showed inspections for [#] pieces of equipment, even though lists of equipment from responses show at least [#] pieces of equipment in the factory.¹⁴⁰ The records also noted whether each piece of equipment was operating normally, [description], [description], [description], or [description]. These records showed that every piece of equipment was marked as [description] or [description], even though CBP officials observed [description] in the [equipment] and PTNNI company officials explained that the company had experienced a potentially fatal leak of [input] that required production to be shut down for days.¹⁴¹ These inconsistencies indicate that the maintenance records were either very incomplete or fabricated.

Additional Research by CBP

In order to understand the information placed on the record by the parties, CBP conducted additional research using public sources. CBP placed the additional information it found on the record on June 15, 2022.¹⁴² This information included trade statistics from a public Indonesian government website.¹⁴³ Notably, CBP used the same public website where PTNNI and importers had previously found no records of Indonesian imports of glycine from Thailand. CBP also used the same HS category as PTNNI and the importers.¹⁴⁴

¹³⁶ See Verification Exhibit 2.

¹³⁷ *Id.* at 5.

¹³⁸ *Id.* at Exhibit SQ2-IV-15A and Oct. 19 Memo at Attachment 2.

¹³⁹ *Id.* at 11.

¹⁴⁰ See PTNNI RFI Response at Exhibit 15, PTNNI Supp RFI Response at SQ-IV-13, and CF-28 Responses at Exhibit T.

¹⁴¹ *Id.* at 9.

¹⁴² See CBP's Memo "Adding New Information to the Administrative Record of EAPA Case 7663" dated June 15, 2015 ("June 15 PD memo").

¹⁴³ *Id.* at Attachments 1-3.

¹⁴⁴ See PTNNI Feb 14 Factual Info at Exhibit 5 and Exhibit 6.

CBP's June 15, 2022, memo also contained information about the dangers of handling MCA and ammonia. Attachment 6 shows that "{e}xposure to ammonia gas or ammonium hydroxide can result in corrosive injury to the mucous membranes of the eyes, lungs, and gastrointestinal tract and to the skin due to the alkaline pH and the hygroscopic nature of ammonia."¹⁴⁵ Public information in this memo also shows that "{f}atal cases and life-threatening poisonings in workers have been described after skin contact" with MCA, including one case "in which about 10% of the body surface was contaminated with warm MCAA solution." This individual died 10 hours later "{a}lthough the contaminated skin was immediately rinsed with water".¹⁴⁶

Written arguments

On June 16, 2022, the importers submitted written arguments. These arguments consist of (1) Criticisms of CBP's material calculations; (2) Arguments against CBP's Procedures; (3) Arguments that the record does not meet the evidentiary threshold to support a finding of evasion; (4) Claims that the verification report ignored evidence; and (5) other claims.¹⁴⁷

1. Criticisms of CBP's Raw material calculations:

Comments: The importers contend that methanol recycling explains the apparent shortage,¹⁴⁸ that CBP miscalculated methanol consumption rate, and provide an alternative calculation in Attachment 3.¹⁴⁹

CBP's position: The manufacturer provided no information on the record tying any production batches at PTNNI to recycling of methanol or any information about how many times methanol can be recycled. Instead, each production batch ties to newly purchased methanol.

Whether PTNNI purchased enough methanol for production depends on the consumption rate, yet PTNNI and the importers provided multiple consumption rates. The importers claim that PTNNI consumed [#] kg of methanol per every kg of intermediate glycine produced, based on one consumption rate, but PTNNI and the importers reported a methanol consumption rate of [#] kg of methanol per each kg of intermediate glycine production in the CF-28 responses.¹⁵⁰ CBP also calculated a consumption of [#] kg to make one kg of intermediate glycine, based on actual production batches.¹⁵¹

Further, the importers' calculations depend on monthly consumption figures that are unreliable because they vary by [#] percent from one month to another. Methanol consumption in Exhibit SQ-V-4, the source for the importers' [#] average consumption rate, varied from [#] kg to [#] kg, which is a variation of [#] percent. It is implausible that the consumption rate would vary so much because industrial-scale manufacturing requires consistency. When CBP gave

¹⁴⁵ See June 15 PD Memo at Attachment 6.

¹⁴⁶ *Id.* at Attachment 7, page 4 of 32.

¹⁴⁷ See: the importers' letter "EAPA Cons. Case 7663 – Importers' Rebuttal Written Arguments" dated June 16, 2022 ("written arguments").

¹⁴⁸ *Id.* at 18.

¹⁴⁹ *Id.* at Attachment 3.

¹⁵⁰ See Starille CF-28 response at Exhibit J; Nutrawave CF-28 response at Exhibit J; and Newtrend USA CF-28 response at Exhibit J

¹⁵¹ See Verification Report at 17.

PTNNI an opportunity to explain why there was so much monthly variation,¹⁵² the company responded that “PTNNI respectfully disagrees with CBP’s assertion that there is ‘considerable variation’ in the quantity of inputs consumed per unit of intermediate glycine produced.”¹⁵³ Thus, PTNNI was nonresponsive when asked to explain this discrepancy.

In contrast to PTNNI’s low reported methanol consumption, the allegor provided a methanol consumption rate of [#] kg of methanol per kilogram of intermediate glycine production¹⁵⁴ in its rebuttal to PTNNI’s first RFI response.

It is also notable that PTNNI provided false information to CBP in response to the allegor’s information. PTNNI wrote in rebuttal to the allegor’s factual information that the consumption rate the allegor provided was not a reasonable comparison for PTNNI because PTNNI uses [description] ammonia but the Indian factory whose data the allegor placed on the record uses ammonia in [description] form.¹⁵⁵ Significantly, CBP discovered at verification that this is a false statement because PTNNI uses ammonia in [description] form.

PTNNI’s false information about the state of its ammonia, combined with the inconsistent methanol consumption rates it reports in different responses mean that the consumption rate placed on the record by the allegor is more reliable than the consumption rates placed on the record by PTNNI. The fact that PTNNI did not directly respond to the question about variation in raw material consumption rates in the second RFI response, and the fact that CBP cannot tie the low methanol consumption rate reported in the RFI response to any individual production batches, provides further evidence that this figure is not reliable. Since the only difference that PTNNI could identify in production process between the Indian factory cited by the allegor and PTNNI’s process was based on a false statement (that PTNNI uses [description] rather [description] ammonia), the allegor’s information is highly relevant to PTNNI.

Based on the consumption rate the importers provided CBP in their CF-28 responses, PTNNI purchased less than [a third] of the methanol it consumed. This means that even if PTNNI could consume every kilogram of methanol purchased [#] times, there would still be a shortage of methanol. PTNNI’s production records tie each production batch only to a lot of purchased methanol and there is no mention in any production records of consumption of recycled methanol.¹⁵⁶ However, the information placed on the record by the allegor shows that a comparable factory uses both new methanol and recycled methanol for every batch of intermediated glycine.¹⁵⁷ Therefore, if PTNNI consumed both recycled and fresh methanol, its total consumption of methanol (newly purchased methanol plus recycled methanol) would also be higher than the [#] kg of new methanol per kg of intermediate glycine CBP used to calculate the shortage of methanol purchased by PTNNI in the verification report.

2. Procedural Arguments

¹⁵² See 2nd Supp RFI to PTNNI at 8.

¹⁵³ See PTNNI 2nd Supp RFI Response at 26.

¹⁵⁴ See Geo first RFI Rebuttal at Exhibit 5.

¹⁵⁵ See PTNNI Response to Allegor’s RFI Rebuttal at 8 and Exhibit 6.

¹⁵⁶ See Newtrend USA CF-28 Response at Exhibit K; Nutrawave CF-28 Response at Exhibit K; Starille CF-28 Response at Exhibit K; PTNNI RFI Response at Exhibit 23A and 23B; and PTNNI 2nd Supp RFI Response at SQ2-IV-16A, SQ2-IV-B, SQ2-IV-16C, SQ2-IV-16D, and SQ2-IV-16E.

¹⁵⁷ See Geo first RFI Rebuttal at Exhibit 5, page 17 of 58.

Comments: The importers assert that CBP must find that evidence of evasion meets a preponderance of the evidence standard to make an affirmative determination in this case. They argue that because the U.S. Court of Appeals for the Federal Circuit found in *Cresswell Trading Co.* that Commerce must meet this standard, CBP must also meet this standard in evasion cases. Specifically, the importers note that CBP must make two determinations (1) whether the merchandise is subject to an ADCVD order and (2) whether that merchandise was entered into the customs territory of the United States without paying applicable AD/CV duties due a material and false statement or omission.¹⁵⁸ The importers claim that the substantial evidence standard “only applies to CBP’s conclusion regarding whether the alleged entered merchandise is subject to an AD or CVD order.”¹⁵⁹

The allegor responded that CBP must make an affirmative determination as to evasion if the evidence meets a substantial evidence standard. The allegor points out that the ruling cited by the importers directed Commerce to apply a preponderance of the evidence standard because there was no regulatory or legislative guidance on what standard Commerce should use at the time of that ruling (1994). Notably, the allegor points out that since the ruling in *Creswell*, Congress has passed the EAPA statute, which explicitly requires “CBP to determine, not later than 300 calendar days (or 360 calendar days in extraordinarily complicated cases) after the date of initiation of an EAPA investigation, whether there is substantial evidence that merchandise covered by an AD/CVD order was entered into the customs territory of the United States through evasion.”¹⁶⁰ The allegor also cites recent precedent in *Royal Brush Manufacturing, Inc.* where the “U.S. Court of International Trade (“C.I.T.”) found that found that CBP’s evasion finding must be based on “substantial evidence””. Geo further points to the ruling in *Diamond Tools Tech. LLC.* where the C.I.T. wrote that “Custom’s {final evasion} determination must be based on substantial evidence.”¹⁶¹ The allegor also argues that the *Creswell* ruling cited by the importers only applied in a circumstance where a clear standard of proof was not laid out in statute and is therefore, superseded by the EAPA statute which lays out substantial evidence as the standard of proof CBP must meet to make determinations as to evasion in EAPA evasion cases.¹⁶²

CBP’s Position: The plain language of the EAPA statute, our regulations, and recent court rulings all set forth substantial evidence as the burden of proof for a finding of evasion in EAPA cases.

New Factual Information Rebuttal

Pursuant to 19 CFR § 165.23, CBP gave both the allegor and the importers until June 27, 2022 to submit information and arguments in response to CBP’s June 15, 2022 memo.¹⁶³ The importer placed on the record additional Indonesian trade statistics from the same public website where CBP and PTNNI and the importers previously obtained public Indonesian trade data.¹⁶⁴ The importers’ rebuttal also included data on Chinese exports of HS 2922.49.19, a more specific HS code than the one available in the Indonesian import data. Notably, these data show a larger

¹⁵⁸ See Written arguments at 1.

¹⁵⁹ *Id.* at 2.

¹⁶⁰ See Geo’s letter “RE: EAPA Case No. 7663: GEO Specialty Chemicals, Inc.’s Rebuttal To Importers’ Written Arguments” dated July 1, 2022 (“Rebuttal to Written Arguments”) at 3.

¹⁶¹ See Rebuttal to Written Arguments at 4.

¹⁶² *Id.* at 3-4.

¹⁶³ See CBP’s email “RE: EAPA-00007663” dated June 17, 2022, at 5:34 PM.

¹⁶⁴ See PTNNI and the importers’ letter “RE: EAPA Consol. Case No. 7663 – Rebuttal Information & Argument to CBP’s June 15, 2022, Information” (“PTNNI /Importers’ NFI Rebuttal”).

percent increase in Chinese exports of Glycine to Indonesia than found in CBP's analysis of Indonesian import data.¹⁶⁵

The allegor submitted its response to the new factual information on June 30, 2022.¹⁶⁶ Geo submitted an affidavit from [name], a chemical engineer with experience producing glycine at [company]. This affidavit states that hexamine is "a critical raw material" that "has a pungent odor". It also states that "methanol is a material recycled continuously during the MCAA glycine production process" and that "it is impossible to recycle methanol periodically in batches".¹⁶⁷ This affidavit further states that "{t}he use of anti-caking agents does not increase the yield of finished glycine and creates significant impurities in the finished glycine that may result in the failure to meet customer specifications".¹⁶⁸

Analysis as to Evasion

Under 19 USC 1517(c)(1)(A), to reach a determination as to evasion, CBP must "make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion." Evasion is defined as "the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise."¹⁶⁹ In this investigation covered merchandise is glycine from Thailand which "includes glycine of all purity levels, which covers all forms of crude or technical glycine including, but not limited to, sodium glycinate, glycine slurry and any other forms of amino acetic acid or glycine. Subject merchandise also includes glycine and precursors of dried crystalline glycine that are processed in a third country, including, but not limited to, refining or any other processing that would not otherwise remove the merchandise from the scope of these orders if performed in the country of manufacture of the in-scope glycine or precursors of dried crystalline glycine."¹⁷⁰

After reviewing the record, CBP has determined that the importers did not evade AD order A-549-837 by transshipping Thai glycine through Indonesia because there is no evidence of imports of Glycine from Thailand into Indonesia.

The following facts provide support that the glycine PTNNI sold the importers was not Thai-origin and therefore not covered by the order:

- (1) Newtrend Thailand stopped producing glycine in [date];
- (2) Public trade data shows that Indonesia had no imports of glycine from Thailand during the POI;¹⁷¹

¹⁶⁵ See June 15 PD Memo at Attachment 4.

¹⁶⁶ See Geo submitted its new factual information on June 27, 2022, *see*: Geo's Letter "Re: EAPA Case No. 7663: Factual Information in Rebuttal to CBP's June 15, 2022, Memorandum" dated June 27, 2022("Geo NFI Rebuttal"), but CBP rejected Geo's submission on June 28, 2022. CBP gave the allegor until June 30, 2022, to resubmit its response. *See* CBP's email "EAPA-00007663" dated June 28, 2022, at 2:32 PM.

¹⁶⁷ *See* Geo NFI Rebuttal at Exhibit 1.

¹⁶⁸ *Id.* at Exhibit 1.

¹⁶⁹ *See* 19 CFR 165.1; *see also* 19 USC 1517(a)(5)(A).

¹⁷⁰ *See* AD order.

¹⁷¹ *See* PTNNI Feb 14 Factual Info at Exhibits 17 and 18.

- (3) Sales reconciliations show that Newtrend Thailand did not sell any glycine to Indonesia; and
- (4) At least [#] employees from Newtrend Thailand were present at PTNNI since [date].

Determination as to Evasion

In conclusion, the evidence in this investigation indicates that Thailand was not the country of origin for the glycine imported by the importers. Therefore, CBP determines that the glycine imported by the importers was not subject to the order on glycine from Thailand and substantial evidence does not exist that the importers evaded the AD order on glycine from Thailand, A-549-837.

Actions Taken Pursuant to the Negative Determination as to Evasion

In light of CBP's determination that there is not substantial evidence that the importers entered covered merchandise into the customs territory of the United States through evasion of AD order (A-549-837), CBP will not take action, as applicable, pursuant to 19 USC 1517(d)(1)(D)-(E) and 19 CFR 165.28(a). In this case, CBP did not collect deposits from the importers on the Thailand rates. Going forward, CBP will not require that for any imports of glycine from the importers deposit estimated duties at the time of entry pursuant to 19 USC 1517(d)(1)(E)(iii). None of the above actions preclude CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

Brian Hoxie
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade